

SEPARATE OPINION OF M. NAGAOKA.

[*Translation.*]

Much to my regret I am unable to concur in the judgment of the Court. In his separate opinion, Judge M. O. Hudson has amply explained his standpoint with which I am in complete agreement, and I have but little to add to it. I desire simply to indicate my views in regard to the following points.

1. According to the applications of the three Hungarian nationals, the so-called suits "of the second series" were brought against Yugoslavia with a view to obtaining from that country the local (national) indemnity in respect of estates expropriated under the agrarian law. There is therefore no doubt that these suits were brought in regard to the agrarian reforms in consequence of the application of the new Yugoslav law. But the question arising is whether legal proceedings which are instituted in regard to the agrarian reforms must necessarily, in all cases, fall within the category of the proceedings referred to in Article I of Agreement II. In other words, the question is whether the authors of the Paris Agreements intended that the words "all legal proceedings" should be understood as meaning all kinds of legal proceedings, of whatever description, instituted in regard to the agrarian reforms.

2. This question, which is the very essence of the problem, cannot be answered in definite and precise terms unless the spirit of the Paris Agreements be first considered. It is, therefore, essential to start from the actual events which induced the Powers to conclude the Agreements, for in no other way is it possible to apprehend the true import of Article I of Agreement II.

The situation existing before the Conferences at The Hague and at Paris has been well described by M. Loucheur, the President of the Paris Conference, in the following terms: "The Roumanian Government contended—and this was also the standpoint of the Governments of Prague and Belgrade—that Article 250 was designed to protect the Hungarian nationals against measures applied to them *quâ* Hungarian nationals, but was not applicable in the case of agrarian reforms which affected all landowners alike, irrespective of their nationality. The Hungarians replied that Article 250 was to be construed literally, and that its provisions gave the Hungarian nationals absolute protection against any measures of seizure or liquidation." In other words, the Hungarian nationals, relying on Article 250 of the Treaty of Trianon, claimed the restitution

of their lands which had come under the agrarian reform, or the payment of indemnities representing the full value of those lands, whereas the three States of the Little Entente were only disposed to pay the indemnities on the national scale.

The Agent of the Yugoslav Government confirmed that version of the facts in his Rejoinder (p. 1) where he said: "The chief aim of the Reply seems to be to show: (a) that the proceedings instituted by the Hungarian nationals before the Mixed Arbitral Tribunals, prior to January 20th, 1930, were designed to obtain full compensation; (b) that the Little Entente States have consistently declared that their agrarian legislation was based on the principle of absolute equality of treatment as between their own nationals and the Hungarian nationals. These two facts have never been disputed by Yugoslavia."

It is thus evident that there would have been no dispute between the Little Entente States and Hungary if the Hungarian nationals had been content, from the outset, to accept the local indemnities.

3. What was the nature of the arrangement by which it was found possible to reach an agreement with a view to putting an end to this dispute? The Paris Agreements furnish a clear answer to that question:

(a) On the one hand, the States of the Little Entente were only required to make payments in respect of the local indemnities. On the other hand, it was decided, in order to meet the demands of the Hungarian nationals, that, in addition to the above-mentioned payments, the annuities laid down in Article 2 of Agreement III should be contributed by Powers other than the three States referred to above.

(b) All these sums were to be paid into the Agrarian Fund, which was created by Agreement II of Paris.

(c) The Agrarian Fund was not required to make any payment until it had received notification of the whole of the judgments (Art. IV of Agreement II); as soon as the Managing Commission, which represents the Fund in virtue of Article 4 of Agreement III, had received notification of the whole of the judgments delivered in the proceedings referred to in Article I of Agreement II, and in any case before December 31st, 1932, it had to make a proportional distribution of the Fund, between the persons entitled to the benefit of the judgments, as laid down in Article VI of Agreement II.

4. Two conclusions emerge from the foregoing: (1) the suits referred to in Article I of Agreement II must be suits instituted with the object of obtaining indemnities from the Agrarian Fund, that is to say, indemnities on a higher scale than the

local indemnities; (2) the Agrarian Fund was created solely in order to pay these indemnities, on a higher scale than the local indemnities.

5. These two conclusions, or premises, show clearly the true import of paragraph 1 of Article I of Agreement II, which states that "the responsibility of the defendant in all legal proceedings brought prior to January 20th, 1930, by Hungarian nationals before the Mixed Arbitral Tribunals against Yugoslavia in regard to the agrarian reforms shall be solely incumbent upon the Agrarian Fund". There can be no doubt that what is meant here is "all legal proceedings" in which "full" indemnities are claimed. The same applies to the legal proceedings referred to in (2) of the same Article, because it is laid down therein that the defendant in these suits must, in all cases, be the Agrarian Fund, which is created solely for the payment of full indemnities.

Hence, the legal proceedings referred to in Article I of Agreement II only include proceedings instituted in order to obtain indemnities larger than the local indemnities from the Agrarian Fund. It follows that the so-called suits "of the second series" do not fall within the category of proceedings referred to in Article I of Agreement II, notwithstanding the fact that they were instituted before the Mixed Arbitral Tribunal in regard to the Yugoslav agrarian reform.

6. As it has thus been shown that the Court possesses jurisdiction as an appeal tribunal in respect of the present application, I shall refrain from entering upon an examination of the questions raised by the Parties as alternative submissions. I shall also refrain, in view of the Court's judgment, from examining the judgments forming the subject of the appeal, although my opinion is that they are not well-founded and ought to be revised.

In conclusion, I would once more emphasize the fact that neither the Conference at The Hague nor the Paris Conference did more than settle the questions which had for years been disturbing Central Europe. The question of the claim to local indemnities did not arise at those Conferences, and there was no reason why they should have examined it, since it was precisely the States of the Little Entente which maintained the principle of non-discriminatory national treatment and the payment of local indemnities. If, as has already been observed, the Hungarian nationals had accepted that standpoint, there would have been no necessity whatever to seek a solution of the agrarian reform problems.

Between the suits instituted for full indemnities, and those in which local indemnities are claimed, there is no relationship

whatsoever. The Paris Agreements in no way modify the position of the Hungarian nationals, in regard to their right to claim local indemnities. The lump-sum payment made by Yugoslavia to the Agrarian Fund, under Article 10 of Agreement III, cannot relieve that State of her liability to the Hungarian nationals in respect of local indemnities. The lump-sum payment merely discharges Yugoslavia's obligations to the Agrarian Fund, which has the duty of distributing its assets among the persons entitled to the benefit of the judgments delivered in the suits referred to in Article I of Agreement II. In other words, the annuity paid by Yugoslavia to the Agrarian Fund is solely intended to cover a part of the full indemnities which the Agrarian Fund will have to distribute among the beneficiaries. That annuity has, therefore, no relation whatever to the local indemnities which the Hungarian nationals are claiming from the Yugoslav State.

The essential point is that the Hungarian nationals should be assured of national treatment on a footing of equality with the Yugoslav nationals. The fact that the Paris Agreements confer larger rights than those enjoyed by Yugoslav nationals cannot in any way prejudice the fundamental rights to which the Hungarian nationals are entitled.

(Signed) H. NAGAOKA.